



PVR reported a strong set of numbers with reported which beat our estimates. EBITDA turned positive after 6 straight quarters of loss; however, it was a tad lower than our estimates due to higher other expenses.

- Revenue from operations at INR 6,142 Mn vs INR 1,203 Mn qoq / INR 454 Mn yoy and above our estimate of INR 5,516 Mn
- EBITDA stood at INR 1,650 Mn vs loss of INR (681) Mn / INR (781) Mn | qoq / yoy
- PBT loss stood at a meagre INR (192) Mn vs loss of INR (1,855) Mn and loss of INR (729) Mn | qoq / yoy
- PAT loss stood at INR (102) Mn vs loss of INR (1,532) Mn and loss of INR (493) Mn | qoq / yoy
- EPS stood INR (1.6) vs INR (25.2) / INR (9.6) | qoq / yoy
- PVR added 5 screens in Q3FY22 and 18 screens YTD with a total of 860 screens
- Admits stood at 14.5 Mn in Q3FY22 vs 3.2 Mn / 1 Mn in Q2FY22 / Q3FY21 respectively
- ATP stood at INR 239 in Q3FY22 vs INR 203 / INR 164 in Q2FY22 / Q3FY21 respectively
- SPH stood at INR 129 in Q3FY22 vs 128 / 95 Q2FY22 / Q3FY21 respectively
- Gross debt stands at INR 1,536.1 Cr in Q3 vs 1,593.5 Cr / 1,351.9 Cr in Q2FY22 / Q4FY21 respectively
- Net Debt stood at INR 857.6 Cr in Q3 vs 913.8 Cr / 619.6 Cr in Q2FY22 / Q4FY21 respectively

Key Takeaways of the result:

- The 3rd wave of Covid -19, fuelled by the Omicron variant, has further delayed the business recovery with certain states reimposing restrictions on operations. This has resulted in blockbuster content such as Jersey, RRR, Prithviraj etc deferring release.

Financial Summary

Y/E Mar (Rs mn)	FY19	FY20	FY21	FY22F	FY23F	FY24F
Net sales	30856	34144	2800	10915	37377	52963
% growth	32%	11%	-92%	290%	242%	42%
EBITDA	5863	10766	-3349	-308	12244	18142
PBT	3002	901	-9383	-8203	1906	7773
Adj. PAT	1894	269	-6589	-5810	1296	5130
EPS (Rs)	39.3	5.3	-127.5	-95.4	21.3	84.3
EV/EBITDA (x)	14.6	11.9	-40.1	-473.7	12.0	8.0
P/B (x)	6.0	5.5	7.4	41.2	27.7	11.4
P/E (x)	40.5	299.3	-12.5	-16.7	74.7	18.9
D/E	0.8	0.8	1.1	6.0	3.7	1.4
ROCE (%)	18%	12%	-15%	-11%	12%	22%

Source: Company

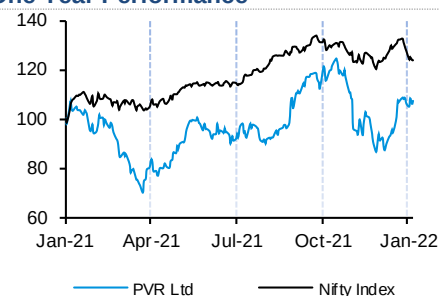
Rating	TP (Rs)	Up/Dn (%)
BUY	2,001	26

Market data

Current price	Rs	1,592
Market Cap (Rs.Bn)	(Rs Bn)	95
Market Cap (US\$ Mn)	(US\$ Mn)	1,262
Face Value	Rs	10
52 Weeks High/Low	Rs	1839 / 961
Average Daily Volume	('000)	1,607
BSE Code		532689
Bloomberg		PVRL.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	17.02	17.04
Public	82.98	82.96
Total	100	100

Source: BSE

Mayank Babla
(022) 67141412
mayank.babla@dalal-broacha.com

- Barring Delhi and Haryana, cinemas across the country continue to operate with capacity restrictions
- Admissions reached a peak of 112% of pre-pandemic levels in Week 12
- % of weekly footfalls in 2nd week of October versus pre-pandemic period stood at 68% which is extremely encouraging given that movies released in October were no where close to pre-pandemic levels
- ATP of INR 239 and SPH of INR 129 were higher than pre-pandemic levels also
- Average Rental discount for Q3 was 21% and during Dec'21 when cinemas were fully operational it was ~5%. Fresh discussions are underway for the current ongoing wave of Covid
- Wave 2 rental negotiations have been concluded for >97% properties. Achieved rental discount of ~57% in 9M FY 22

Conference Call Key Highlights

- ***Cost movement as operations normalize:** ***Employee costs:** as operations ramped up from November onwards (when Maharashtra opened up), costs also ramped up due to headcount addition, however, even when operations normalize, these costs will remain below pre-COVID level on the headcount and absolute level. ***Other overhead costs** also will increase during a full quarter of operation but will remain below pre-COVID level
- Q3 average fixed cost per month was INR 113 Cr vs INR 147 cr in December 2019, so approximately INR 30-35 Cr lower. There will be some increase in costs in a full quarter of operation for example even rental costs was lower in the current quarter. However, ***there will be ~10% savings in fixed costs versus pre-COVID levels (excluding Lease and CAM)***
- Sentiment of producers is positive and are willing to release the films as restrictions are uplifted without any downtime
- ***Strong performance of dubbed regional films in other regions and languages is a trend-in-making - which is a big positive and serves as a huge opportunity in the long term***. For eg. Pushpa in Hindi has been a bigger hit in the Hindi belt (INR 90 cr-100 Cr in box office collections) versus original language.
- ***Consumption Trends:** Consumption of premium format has increased post-COVID translating into higher ATP being absorbed and occupancy increasing
- Massive pipeline of screen rollout and deferred capex is awaiting and will happen as business normalizes

- ***Cinema Pricing has a massive headroom for growth*** given that inflation increased and even GST was introduced but Cinemas passed it on.
- ***On Telangana price increase:*** Government revised pricing cap (for mainstream seats) from INR 150 + GST to INR 250 + GST which is almost 2x rise. For recliners, the cap has increased to INR 300 + GST which is an increase of 40%. This is a huge progress for PVR as Telangana is the biggest region with 10% of total FY20 admits coming from this region. Therefore, as the business bounces back and normalizes it will have a big positive rub-off from FY23 onwards.
- ***Immense headroom for pricing increase in Tamil Nadu as Government increased the pricing cap 3 years ago to INR 210 inclusive of GST and PVR's pre-pandemic pricing was approximately INR 160+.*** Management keeps lobbying with the Government but currently there is no need for it as enough headroom for ATP to increase within the cap itself.
- Ad revenue closer to 50% of normal revenue in December 2021 and have a strong outlook as normalcy resumes
- Capex of INR 23 Cr was done in Q3

Valuation & Outlook

PVR is currently trading at an EV/EBITDA multiple of 12x / 8x FY23e / FY24e EBITDA.

Although the Omicron virus was spreading faster than previous 2 waves, it was relatively less fatal with noticeably quicker recoveries. Cinema houses were also not completely shut down as in previous waves and were allowed to remain open with restrictions barring Delhi and Hariyana.

Going ahead, we believe that each forthcoming wave (if at all) will be lesser fatal than the previous one – which should instill confidence in people to step out and for economies to completely open up.

There is huge pent-up demand amongst consumers which has increased the ability to absorb higher prices – which is evident in this quarter's ATPs and SPHs.

PVR should benefit from a good headroom to increase prices in Tamil Nadu and Telangana where pricing caps were increased by government in 2018 and 2021 respectively. PVR would be a prime beneficiary of price increase in Telangana as the state accounts for 10% of PVR's total footfalls.

Taking the above points into consideration, **we retain our BUY rating on the stock and upgrade our target price** (from INR 1,924) **to INR 2,001 based on our FY24 estimates.**

Financials

Profit & Loss A/c						
YE March (Rs. mn)	FY19	FY20	FY21	FY22F	FY23F	FY24F
Total Revenue	30856	34144	2800	10915	37377	52963
Growth %	32%	11%	-92%	290%	242%	42%
Less:						
Film Distributors Share	7019	7335	472	2204	9222	12112
F&B cost	2387	2637	258	884	3066	4409
Employee cost	3373	3938	2171	2648	4013	7097
Other expenses	7154	9469	3249	5487	8831	11204
Total Operating Expenditure	24992	23379	6149	11223	25133	34822
EBIDTA	5863	10766	-3349	-308	12244	18142
Growth %	46%	84%	-131%	-91%	-4074%	48%
EBITDA Margin (%)	19%	32%	-120%	-3%	33%	34%
Less: Depreciation	1913	5425	5748	5868	5862	6003
EBIT	3951	5341	-9098	-6177	6382	12139
EBIT Margin	13%	16%	-325%	-57%	17%	23%
Growth %	59%	35%	N.A.	N.A.	N.A.	N.A.
Interest Paid	1280.1	4817.9	4978	4962	4854	4744
Non-operating Income	331.4	377.9	4693.4	2936.1	377.9	377.9
Exceptional Items	-	-	-	-	-	-
Profit Before Tax	3002	901	-9383	-8203	1906	7773
Adjusted PBT	3002	901	-9383	-8203	1906	7773
Tax	1096.6	627.4	-2794	-2393	610	2643
Net Profit	1894	269	-6589	-5810	1296	5130
Adjusted Profit	1894	269	-6589	-5810	1296	5130
Growth %	51%	-86%	N.A.	N.A.	N.A.	N.A.
Net Profit Margin (%)	6%	1%	-235%	-53%	3%	10%
Reported Diluted EPS Rs	39.3	5.3	-127.5	-95.4	21.3	84.3
Growth %	47%	-86%	N.A.	N.A.	N.A.	N.A.
Adjusted Diluted EPS Rs	39.3	5.3	-127.5	-95.4	21.3	84.3

YE March (INR Mn)						
	FY19	FY20	FY21	FY22F	FY23F	FY24F
EBITDA Margins %	19.0%	31.5%	-119.6%	-2.8%	32.8%	34.3%
EBIT Margins %	12.8%	15.6%	-324.9%	-56.6%	17.1%	22.9%
NPM (%)	6.1%	0.8%	-235.3%	-53.2%	3.5%	9.7%
RoE (%)	15.9%	2.0%	-50.8%	-246.9%	37.0%	60.5%
RoCE (%)	18.0%	12.0%	-15.2%	-11.3%	12.2%	22.4%
BV/Per Share INR	265	288	216	39	58	139
Valuation Ratios						
P/E(x)	40.5x	299.3x	-12.5x	-16.7x	74.7x	18.9x
EV/EBITDA	14.6x	11.9x	-40.1x	-473.7x	12.0x	8.0x
P/BV(x)	6.0x	5.5x	7.4x	41.2x	27.7x	11.4x
EV/Sales(x)	2.8x	3.8x	48.0x	13.4x	3.9x	2.7x
Market Cap./Sales(x)	2.4x	2.4x	29.4x	8.9x	2.6x	1.8x

Balance Sheet						
Year to December	FY19	FY20	FY21	FY22F	FY23F	FY24F
ASSETS						
Current Assets						
Cash in hand and at banks	352	3,235	7,323	4,750	4,865	5,480
Accounts receivable	1,839	1,893	307	598	1,843	3,483
Other current assets	1,107	1,764	1,867	598	1,536	2,177
Total Current Assets	3,934	7,536	10,023	6,185	9,268	12,590
Non-current Assets						
Gross Block	20,056	22,750	23,660	25,450	29,150	30,150
Less Depreciation	5,157	6,392	8,621	11,011	14,318	17,734
Net Block	14,900	16,358	15,039	14,438	14,832	12,415
Capital Work in progress	2,208	1,547	2,172	1,100	1,100	1,100
Total non-current assets	21,578	51,760	52,054	43,560	53,504	63,153
TOTAL ASSETS	25,512	59,297	62,077	49,745	62,772	75,743
LIABILITIES AND EQUITY						
Current liabilities						
Trade & notes payable	7,287	6,187	5,469	2,093	4,096	5,079
Total Current Liabilities	11,713	11,739	10,801	14,164	27,376	36,292
Noncurrent liabilities						
Secured Loans	11,461	12,043	11,793	14,043	13,043	12,043
Total noncurrent liabilities	11,461	47,734	45,884	50,014	48,679	47,750
TOTAL LIABILITIES	23,174	59,473	56,685	64,178	76,055	84,042
SHAREHOLDERS' EQUITY						
Share Capital	467	513	517	608	608	608
Retained Earnings	11,928	14,289	7,697	1,743	2,894	7,879
Total Shareholders' Equity	12,395	14,802	11,155	2,352	3,503	8,487

Cash Flow Statement						
YE March (Rs. Mn)	FY19	FY20	FY21	FY22E	FY23E	FY24E
PAT	1836	284	-6592	-5807	1297	5131
(Less)/Add: Extraordinary Income/Expense	-12	-5	0	0	0	0
Less: Non Operating Income	331	378	4693	2936	378	378
Add: Depreciation	1913	5425	5748	5868	5862	6003
Add: Interest Paid	1280	4818	4978	4962	4854	4744
Operating Profit before WC Changes	5418	10900	8831	7957	12390	16255
(Inc)/Dec in Current Assets	-837	-717	1545	1134	-2678	-2536
Inc/(Dec) in Current Liabilities	5606	-1998	-1335	1936	11174	9204
Changes in Inventory	-105	-3	57	130	-290	-171
Net Cash Generated From Operations	10082	8181	9099	11158	20597	22752
Cash Flow from Investing Activities						
(Inc)/Dec in Fixed Assets	-5543	-6883	-4429	-5268	-6256	-3586
Net Cash Flow from Investing Activities	-15855	-4533	29	823	-8991	-6763
Cash Flow from Financing Activities						
Inc/(Dec) in Total Loans	4847	582	-250	2250	-1000	-1000
Net Cash Flow from Financing Activities	5787	-8433	-5038	-6499	-6739	-6629
Net Inc/Dec in cash equivalents	14	-4785	4090	5482	4866	9359
Opening Balance	339	352	3235	7323	4750	4865
Closing Cash and Cash Equivalent s	352	3235	7325	4716	3624	3624

Source: Dalal & Broacha Research, Company

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Name	Designation	Email	Phone	Sector
Mr.Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022 67141442	Retail FMCG Logistics
Mrs.Charulata Gaidhani	Sr.Analyst	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma Healthcare
Mr.Mayank Babla	Sr.Analyst	mayank.babla@dalal-broacha.com	022 67141412	IT Telecom Media
Mr.Avinash Tanawade	Sr.Analyst	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr.Akshay Ashok	Sr.Analyst	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Mr.Bhavya Gandhi	Analyst	bhavya.gandhi@dalal-broacha.com	022 67141444	Midcaps
Mr.Miraj Shah	Analyst	miraj.shah@dalal-broacha.com	022 67141489	FMCG Retail

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | E-mail: equity.research@dalal-broacha.com